CORPORATE REPORTING

Suggested Answers
July-August 2024

Answer to the Question# 1(a):

Signature owned 51% shares of Prestige until 30 June 2023 when it sold 26% shares. Since Signature owned 51% of Prestige, it is assumed that Signature had control over Prestige, and therefore Prestige was a subsidiary of Signature.

When Signature sold 26% shares, it lost control over Prestige. Therefore, Prestige is no longer a subsidiary and will not be included in year-end consolidation. But revenue and expenses incurred before selling will be included in consolidated profit or loss statement. As Signature retained 25% shares of Prestige, it shall be treated as associate and consolidated under equity method.

Gain or loss from disposal of Prestige		
Proceeds Received		40,000,000
Fair value of interest retained (25%) (W1)		38,461,538
Less amounts recognised before disposal:		
Net assets of Prestige before disposal (W2)	120,091,647	
NCI at disposal (49% of 120,091,647)	(58,844,907)	
		(61,246,740)
Gain on disposal		**17,214,798**

Working 1: Fair value of interest retained

Fair value of 26% shares	40,000,000
Fair value of retained 25% Shares	= (40,000,000 * 25%/26%) = 38,461,538

Working 2: Net assets of Prestige at the time of disposal

Opening Retained earnings	= 13,009,149- 835,004 =	12,174,145
Profit accrued before disposal	= 835,004 / 2 =	417,502
Share capital		107,500,000
Total net asset before disposal		**120,091,647**

Answer to the Question# 1(b) (i):

Consolidated Statement of profit or loss and other comprehensive income
For the year ended 31 December 2023

	Signature	**Platinum**	**Prestige**	**Consol Adj**	**Consolidated**
Revenue	786,293,042	142,938,074	1,895,622	(1,200,000)	929,926,738
Cost of goods sold	-528,237,730	-120,655,809	-766,242	1,200,000	-648,459,781
PURP (1,200,000*50%*10%)	-60,000				-60,000
Gross profit					**281,406,957**
Selling and distribution expenses	-50,257,519	-5,148,898	-21,293	-	-55,427,710
Administrative expenses	-64,392,797	-2,574,449	-541,541	-	-67,508,787
Loss of inventory due to fire		-12,500,000			-12,500,000
Profit from operation				-	**145,970,460**
Other income	16,575,979	2,519,191			19,095,170
Less: gain on disposal of Prestige recognized in standalone FS (40,000,000 - 54,825,000*26/51)				-12,050,000	-12,050,000

Gain on disposal of Prestige in consolidated FS				17,214,798	17,214,798
Gain on acquisition of Platinum				44,595,400	44,595,400
Finance cost	-14,794,432	-203,540		-	-14,997,972
Workers' profit participation fund	-6,913,645	-218,729	-26,979	-	-7,159,353
Profit before tax				-	**192,668,503**
Income tax expense	-21,109,860	-1,884,565	-122,066	-	-23,116,491
Net profit for the year	**117,103,038**	**2,271,275**	**417,501**		**169,552,012**
Other comprehensive income	-	-		-	-
Total comprehensive income		-			**169,552,012**

Consolidated Statement of Financial Position
As at 31 December 2023

	Signature	Platinum	Consol Adj	Consolidated
Assets				
Non-current assets				
Property, plant and equipment	448,559,430	155,997,260	-	604,556,690
Right of use assets	173,430,849	-	-	173,430,849
Investment	320,000,000	-	-299,528,510	20,471,490
Goodwill	-	-	239,264,820	239,264,820
	941,990,279	**155,997,260**	**-60,263,690**	**1,037,723,849**
Current assets				
Inventories	125,131,070	127,963,703	-60000	253,034,773
Trade and other receivables (-25,000,000-1,200,000)	459,970,924	121,146,461	-26,200,000	554,917,385
Short term investments	9,644,767	55,882,270	-	65,527,037
Advance, deposits & prepayments	4,882,824	58,713,716	-	63,596,540
Cash and cash equivalents	341,170,862	4,123,336	-	345,294,198
	940,800,447	**367,829,486**	**-26,260,000**	**1,282,369,933**
Total assets	**1,882,790,726**	**523,826,746**	**-86,523,690**	**2,320,093,782**
Equity and liabilities				
Equity				
Share capital (face value @ 10 Taka)	127,600,000	284,400,000	-284,400,000	127,600,000
Retained earnings	363,616,736	129,723,913	-83,939,221	409,401,428
Non-controlling interest	-	-	282,578,074	282,578,074
	491,216,736	**414,123,913**	**-85,761,147**	**819,579,502**
Non-current liabilities				
Deferred tax liabilities	5,176,962	10,667,007	-	15,843,969
Long term loan	-	15,814,423	-	15,814,423
Employee benefits	80,257,553	3,168,939	-	83,426,492
Lease liabilities	152,605,069	-	-	152,605,069

	238,039,584	**29,650,369**	**0**	**267,689,953**
Current liabilities				
Lease liabilities	17,601,047	-	-	17,601,047
Trade and other payables (437,457-1,200,000)	1,034,412,930	32,609,195	-762,543	1,066,259,582
Accrual for expenses	41,910,312	35,668,718	-	77,579,030
Current tax liabilities	59,610,117	11,774,551	-	71,384,668
	1,153,534,406	**80,052,464**	**-762,543**	**1,232,824,327**
Total equity and liabilities	**1,882,790,726**	**523,826,746**	**-86,523,690**	**2,320,093,782**

Answer to the Question# 1(b) (ii):

Workings: Points to be considered:

- Signature owned 15% shares before the previous year end. Signature acquired 25% additional shares on 01 January 2023 and additional 15% share on 01 July 2023. When Signature acquired 25% shares, its total ownership was (15%+25%) = 40% which made Platinum an associate of Signature. By acquiring 15% additional shares of Platinum, Signature became the controlling shareholders (55% shares) of Platinum making it a subsidiary of Signature. Therefore, Platinum's financial position will be consolidated at the year end. However, from revenue and expense of platinum for the 1st half of the year will not be consolidated as it was an associate. Revenue and expenses after becoming a subsidiary will be consolidated in the financial statements.

- Signature sold inventories to Platinum on 01 November 2023 when Platinum was considered as a subsidiary. Hence, sales and purchase of 1,200,000 needs to be eliminated on consolidation. Moreover, since this amount is receivable, it should also be eliminated from the statement of financial position. Since 50% of the inventory remained unsold, the PURP will be calculated as follows: 1,200,000 * 50% * 10% = 60,000

Working 1: Adjustment for loss on inventories

Platinum reported a contingent asset to the financial statements by adjusting the inventory lost on fire incident as insurer refused to settle the compensation claim. IAS 37 does not allow contingent assets to be recognized in the financial statements. Inventory of BDT 25,000,000 lost during fire incident should be recognized as loss in the profit or loss statement by reducing the trade and other receivables.
Following correction entry need to be passed:

Inventory loss on fire	Dr. 25,000,000	
Trade & other receivable	Cr.	25,000,000

Working 2: Adjustment for WPPF

Platinum have not considered WPPF. It's profit before tax is 33,749,138 before charging WPPF. Therefore, Platinum should make 5% provision for WPPF after adjusting the inventory loss from reported profit before tax.
Therefore, Reported profit 33,749,138 – inventory loss on fire 25,000,000.
= Profit before WPPF = 8,749,138
Therefore, WPPF expense and related provision = 437,457

Following entry is required:

WPPF expense	Dr. 437,457	
WPPF Payable	Cr.	437,457

This WPPF is payable on profit accrued throughout the year. Therefore, it should be allocated throughout the year.

Working 3: Fair value of Platinum before obtaining control:

Signature acquired 15% shares of Platinum on 01 April 2022. As the shareholding percentage is below 20%, it should be considered as investment under IFRS 9. Changes in the fair value (i.e. increase of share price to 18 from 12) of the investment in 31 December 2022 is already accounted for in the prior year financial statements. When further 25% shares were acquired 01 January 2023, it became an associate. The cost of acquisition therefore would be

Fair value of previously held equity (28,440,000 x 15% x 18)	= 76,788,000
Add: Consideration transferred for new equity (28,440,000 x 25% x 18)	= 127,980,000
Total cost of investment in associate at the beginning of the year	**= 204,768,000**
Add: Share of profit in Platinum for the year before acquisition (W6)	= 908,510
Fair value of investment in Platinum as associate under equity method	**= 205,676,510**

Working 4: Allocation of share of profit in Platinum before and after acquisition

Platinum profit for the year	=	29,980,009
Less: Loss on inventory	=	(25,000,000)
Less: WPPF Expense	=	(437,457)
Adjusted profit of platinum	**=**	**4,542,552**

Split of share of profit in Platinum before and after acquisition as
= 4,542,552/2
= 2,271,276

Working 5: Share of profit in Platinum for the year before acquisition

Profit earned before acquiring control = 2,271,276
Signature's interest = 40%

Share of profit in Platinum for the year before acquisition = 2,271,276 x 40% = 908,510

Working 6: Goodwill from acquisition of control in Platinum:

Consideration transferred (28,440,000 x 15% x 22)	= 93,852,000
Acquisition-date fair value of previously held equity (W8)	= 250,272,000
Cost of the investment	**= 344,124,000**
Non-controlling interest acquired (28,440,000 x 45% x 22)	= 281,556,000
Fair value of the Platinum on acquisition date	**= 625,680,000**
Less: Net asset acquired (W9)	= (386,415,180)
Goodwill	**= 239,264,820**

Working 7: Gain on fair value of previously held equity on acquisition-date.

Acquisition-date fair value of previously held equity (28,440,000 x 40% x 22)	= 250,272,000
Less: Value of previously held equity under equity method (W4)	= 205,676,510
Gain on changes of fair value of previously held equity	**= 44,595,490**

Working 8: Net Asset acquired with control.

Opening retained earnings (129,723,913 - 29,980,009)	= 99,743,904
Add: Share of net profit before acquisition (W5)	= 2,271,276
Retained earnings on acquisition	= 102,015,180
Share capital of Platinum	= 284,400,000
Net asset of Platinum before acquisition	**= 386,415,180**

Working 9: Consolidated Retained earnings of Signature.

Retained earnings by Signature reported at the year-end	= 363,616,736
Add: Gain on fair value of previously held equity before acquisition	= 44,595,490
Add: Share of Platinum's post-acquisition profit (W11)	= 1,249,202
Consolidated Retained earnings for Signature	**= 409,461,428**

Working 10: Share of Platinum's post-acquisition profit

Adjusted profit in Platinum after acquisition (W5)	= 2,271,276
% of Signature's interest in Platinum	= 55%
Share of Platinum's post-acquisition profit	**= 1,249,202**

Working 11: Goodwill allocated to NCI

Fair value of NCI acquired (28,440,000 x 45% x 22)		= 281,556,000
Less: Net Asset Allocated to NCI		
Net Asset acquired with control (W9)	= 386,415,180	
% of non-controlling interest in Platinum	= 45%	
		= (173,886,831)
		= 107,669,169

Working 12: Non-controlling interest in Platinum

Net Asset acquired with control (W9)	= 386,415,180
Adjusted profit in Platinum after acquisition (W5)	= 2,271,276
Net asset of Platinum at the year-end	= 388,686,456
% of non-controlling interest in Platinum	= 45%
Share of non-controlling interest in Platinum	**= 174,908,905**
Add: goodwill allocated to non-controlling interest (W15)	= 107,669,169
	= 282,578,074

Answer to the Question# 2(a) (i):

Adjustments to be made:

- Long term loan should be segregated between current and non-current. The current portion of current portion of BDT 122,926,286 in 2023 and BDT 121,946,210 in 2022 should be transferred to current liability.

- Violette has reported gratuity payable as current liabilities whereas it doesn't expect any payment for gratuity in next 12 month due to good employee turnover ratio. Therefore, gratuity payable is non-current and should be reported in non-current liability section. As there was no gratuity payment in 2023, gratuity payable in 2022 was also non-current liability. Hence that would also be moved to non-current section.

- Advance deposits and prepayment in both 2023 and 2022 include a security deposit of BDT 20,000,000 paid for Titas Gas Transmission and Distribution Company. As this not realizable within next 12 months, it should be reported as non-current advance and removed from current advance.

Therefore, revised Financials are:

	2023	2022
Non-current assets	1,210,108,305	1,176,602,927
Current assets	667,240,126	627,028,528
Total Assets	**1,210,108,305**	**1,176,602,927**
Shareholders' Equity	**936,165,976**	**728,667,693**
Non-current liabilities	284,682,378	372,898,898
Current liabilities	656,500,077	702,064,864
Total Liabilities	**941,182,455**	**1,074,963,762**
Total equity & liabilities	**1,877,348,431**	**1,803,631,455**

Answer to the Question# 2(a) (ii):

Analysis of the financial Statements:

Liquidity analysis:

Liquidity of a company can be assessed by analysing its current ratio and quick ratio.

Current ratio measures a company's ability to pay short-term obligations or those due within one year. It tells investors and analysts how a company can maximize the current assets on its balance sheet to satisfy its current debt and other payables.

On the other hand, quick ratio, which is also known as the acid-test ratio, measures the ability of a company to use its near-cash or 'quick' assets to extinguish or retire its current liabilities immediately.

- **Current Ratio:**

  Current ratio = (Current Asset/Current Liabilities)

  Current ratio for 2023:
  (667,240,126) / (656,500,077) = 1.02

  Current ratio for 2024:
  (627,028,528 / 702,064,864) = 0.89

  Comment:
  Analysis of the adjusted financial statement shows that Violette's current ratio in 2023 is 1.02 which has increased compared to prior year ratio of 0.89. This indicates that Violette have increased its liquidity position from prior year and now have adequate current asset to meet its current obligations. However, the ratio is very low and current asset is almost equal to current liabilities. This means Violette have not invested almost no money in the working capital. There is a risk that Violette might face liquidity crisis if sudden and unforeseen liability emerges.

- **Quick Ratio:**

  Quick ratio = (Current Asset - inventories/Current Liabilities)

  Quick ratio for 2023:
  (667,240,126 - 364,176,219) / 656,500,077 = 0.46

  Quick ratio for 2024:
  (627,028,528 - 335,230,300) / 702,064,864 = 0.42

Comment:

Quick ratio shows how quickly an entity can pay off its current obligation with its current assets. As inventory is not quickly convertible to cash, it has been excluded from current asset to calculate quick ratio. Analysis shows that quick ratio for Violette's quick ratio in 2023 is only 0.70 which slightly increased form 0.42 in 2022. It shows that Violette is able to pay only 46% of its current obligation with its liquid assets. The ratio is very low and indicates scarcity of working capital in the organization. It will face liquidity shortage and may go bankrupt if the liabilities need to be extinguished on short notice.

Solvency Analysis:

Solvency ratios measure how well a company's cash flow can cover its long-term debt. Solvency ratios are a key metric for assessing the financial health of a company and can be used to determine the likelihood that a company will default on its debt.

- **Debt to equity ratio (D/E ratio):**

  D/E Ratio = Total liabilities / total equity

  D/E ratio for 2023:
  941,182,455 / 936,165,976 = 1.01

  D/E ratio for 2022:
  1,074,963,762 / 728,667,693 = 1.48

  Comment:

  Debt-to-equity (D/E) ratio is used to evaluate a company's financial leverage. Analysis of Violette's Debt to equity ratio shows that the company is moderately leveraged and have a well-balanced capital structure. In 2023 D/E ratio is 1 which means debts and equity is almost equal. D/E equity ratio was 1.5 in prior period. This means Violette has reduced debt level by paying off. Violette can still increase its leverage. However, it should focus only on long term debt to avoid liquidity crisis and bankruptcy risk.

- **Times Interest Earned (TIE ratio):**

  TIE Ratio = EBIT / Finance cost = (operating profit -WPPF+ other income) / Finance cost

  TIE ratio for 2023:
  (294,116,100 - 14,568,825+ 34122078) / 22,292,861 = 14.07

  D/E ratio for 2022:
  (207,083,988 - 10,696,585 + 34,545,301) / 17,001,010 = 13.58

  Comment:

  TIE ratio indicates the ability to pay all interest on business debt obligations. Violette's TIE ratio in both 2023 and 2022 are closed to 15 which means that Violette's EBIT in both years are around 15 times of the interest expense. This indicates that Violette is within its debt capacity with a low risk of not paying interest on its debt.

Profitability Analysis:

Profitability ratios help in determining the financial performance of business at the end of an accounting period. These ratios show how well a company is able to make profits from its operations. Profitability ratios includes Gross profit margin, Net profit margin, Return on Assets and Return of Equity.

- **Gross Profit Margin (GP margin):**
  Gross profit margin = Gross Profit x 100 / Revenue

  GP margin for 2023:
  816,958,324 / 3,438,033,017 = 23.8%

  GP margin for 2022:
  656,048,633 / 2,858,509,030 = 23.0%

  Comment:
  The Gross Margin Ratio is a profitability ratio that compares the gross profit of a company to its revenue. Gross Profit Margin measures how much of each dollar in sales is left as profit after accounting for the cost of goods sold.
  Analysis of Violette's gross margin is consistent over the year. In 2023 GP margin is 23.8% whereas in 2022 it was 23%. This margin seems to be at acceptable level but depends on the margin made by the other players of the industry. However, as the margin is positive, it can be said Violette was successful in making profit on gross basis.

- **Net Profit Margin (NP margin):**
  Net profit margin = Profit after tax / Revenue

  Net profit margin for 2023:
  207,498,283 / 3,438,033,017 = 6.0%

  Net profit margin for 2022:
  160,687,101 / 2,858,509,030 = 5.6%

  Comment:
  Net profit margin measures how much net income is generated as a percentage of revenues received. Net profit margin helps investors assess if a company's management is generating enough profit from its sales and whether operating costs and overhead costs are under control. Analysis shows that Violette's net profit margin is 6% in 2023 and 5.6% in 2022. This is very low return compared to the GP margin generated by the company. Furthermore, the return is very poor for the investors.

- **Return on Asset (ROA):**
  Return on Asset = Net profit / Total Assets

  ROA for 2023:
  207,498,283 / 1,877,348,431 = 11.1%

  ROA for 2022:
  160,687,101 / 1,803,631,455 = 8.9%

  Comment:
  Return on assets is a profitability ratio that provides how much profit a company can generate from its assets. It measures the efficiency of a company's management in earning a profit from their economic resources or assets on their balance sheet.
  Analysis shows that Return on Asset in 2023 has increased to 11.1% from prior year ROA of 8.9%. This is very good performance by Violette. However, the return should be compared with the industry average.

- **Return on Equity (ROE):**
  Return on Equity = Net profit / Total Equity

  ROE for 2023:
  207,498,283 / 936,165,976 1 = 22.2%

  ROE for 2022:
  160,687,101 / 728,667,693 = 22.1%

  Comment:
  ROE measure the company's performance over the invested equity by the shareholders. It is expressed as a percentage of net equity of the company. A higher ROE indicates that a company is generating more profits from the money invested by shareholders.
  Analysis shows that Violette has been performing outstandingly and consistently. In both 2023 and 2022, ROE was around 22%. This is very good return generated by Violette. Management was successful in maximizing shareholders' wealth.

Answer to the Question# 2(b) (i):

Recommendation to MCL management:

Analysis of Violette's financial statement shows that it has a scarcity in working capital as it has poor current and quick ratio. However, the entity is solvent with good mix of debt and equity in the capital structure. It generates sufficient profit to cover the finance cost. In terms of profitability, Violette showed consistency in gross profit, net profit, return on asset and return on equity. Although net profit margin is very low at 6%, it is able to generate more than 22% return for its shareholders. This means Violette's management is capable of maximizing shareholders wealth by leveraging the company. Based on above understanding, MCL management can be recommended to invest in Violette. However, considering the limitations below, MCL should perform a due diligence before making investment decision.

Answer to the Question# 2(b) (ii):

Limitation of analysis which MCL should consider:

Ratio analysis a good tool to understand and analysis of the financial statements. However, it has some limitation which management need to consider.

- Ratio analysis information is historic on historic data. Hence current performance is not captured on current or latest data.
- Ratio analysis does not consider external factors such as market competition.
- Ratio analysis can only be used for comparison with other firms of the same size and type. Comparison between different size and type of business will not generate reliable conclusion.

Answer to the Question# 3(a) (i):

Restructuring plans

Plan 1:
A provision for restructuring should be recognized for year ended 31 December 2023 in respect of the closure of one plant in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*. The plan has been communicated to the relevant employees (those who will be made redundant) and the plant have already been identified. A provision should only be recognised for directly attributable costs that will not benefit ongoing activities of the entity. Thus, a provision should be recognised for the redundancy costs and the lease termination costs, but none for the retraining costs:

	BDT '000
Redundancy costs	3,000
Retraining	-
Lease termination costs	500
Liability	**3,500**

DEBIT	Profit or loss	BDT3,500,000	
CREDIT	Current liabilities		BDT3,500,000

Plan 2:

No provision should be recognised for the reorganisation of the finance and IT department. Since the reorganisation is not due to start for two years, the plan may change, and so a valid expectation that management/board of Atlas is committed to the plan has not been raised. As regards any provision for redundancy, individuals have not been identified and communicated with, and so no provision should be made at 31 December 2023 for redundancy costs.

Answer to the Question# 3(a) (ii):

Share options

Share-based Payment requires that the expense in respect of the share options must be recognised in profit or loss for the year. This is an equity-settled share-based payment, so the fair value of the share options is that at the grant date, and the corresponding credit is to equity:

DEBIT	Profit or loss	1,333,333	
CREDIT	Equity (Share to be issued)		1,333,333

The expense is calculated as follows:

	BDT
31 December 2022 Equity: 10,000 x 4 x BDT 50 x 1/3 (Estimating that 3 directors would leave)	666,667
Profit or loss (balancing figure) in 2023	1,333,333
31 December 2023 Equity: 10,000 x 6 x BDT 50 x 2/3 (Estimating that 1 director would leave)	2,000,000

Answer to the Question# 3(a) (iii):

Convertible redeemable preference shares

Financial Instruments – Presentation defines an equity instrument as any contract which evidences a residual interest in the assets of an entity after deducting all of its liabilities. An equity instrument has no contractual obligation to deliver cash or another financial asset, or to exchange financial assets or financial liabilities under potentially unfavourable conditions. If settled by the issuer's own equity instruments, an equity instrument has no contractual obligation to deliver a variable number of shares.

A critical feature in differentiating a financial liability from an equity instrument is the existence of a contractual obligation of the issuer either to deliver cash or another financial asset to the holder, or to exchange financial assets or financial liabilities with the holder, under conditions which are potentially unfavourable to the issuer.

The preference shares offer the holder the choice of conversion into ordinary shares as well as redemption in two years' time. Atlas should separately recognize a financial liability (a contractual arrangement to deliver cash or another financial asset) and an equity instrument (a call option granting the holder the right, for a specified period of time, to convert it into a fixed number of ordinary shares of the entity).

Atlas should measure the fair value of the consideration in respect of the liability component based on the fair value of a similar liability without any associated equity conversion option. The equity component is assigned the residual amount.

Answer to the Question# 3(a) (iv):

Deferred tax asset

In accordance with IAS 12 *Income Taxes*, a deferred tax asset shall be recognised for the carry-forward of unused tax losses to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

However, the existence of unused tax losses is strong evidence that future taxable profit may not be available. Therefore, when an entity has a history of recent losses, the entity recognises a deferred tax asset arising from unused tax losses only to the extent that it has convincing evidence that sufficient taxable profit will be available against which the unused tax losses can be utilised. In such circumstances, the amount of the deferred tax asset and the nature of the evidence supporting its recognition must be disclosed.

The director of Atlas should consider whether it is probable that Atlas will have taxable profits before the unused tax losses or unused tax credits expire, whether the unused tax losses result from identifiable causes which are unlikely to recur, and whether tax planning opportunities are available to the entity which will create taxable profit in the period in which the unused tax losses or unused tax credits can be utilized. Moreover, Atlas also need to consider the provision of minimum tax in Bangladesh as a company is required to pay minimum tax irrespective of having loss or inadequate profit. To the extent that it is not probable that taxable profit will be available against which the unused tax losses or unused tax credits can be utilized, the deferred tax asset should not be recognised.

Answer to the Question# 3(b) (i & ii):

1. Annual Membership Fees (BDT 9,000,000)

Identify the Performance Obligation: The membership fee entitles customers to a 20% discount on future event bookings within one year of joining, which can be seen as a "material right" (a discount) for future purchases. This material right is considered a separate performance obligation under IFRS 15.

Allocation of Transaction Price: The company should allocate a portion of the BDT 5,000 membership fee to the 20% discount benefit using standalone selling prices (e.g., an estimate of expected future bookings and discount use).

Recognition of revenue over time: Revenue from the membership fee will be recognized over time as the member uses the 20% discount for additional bookings. If the discount expires without being used, the remaining portion can then be recognized as revenue.

Conclusion:
Total membership fees of BDT 9,000,000 should not be recognized as revenue immediately in full, as customers receive benefits over time by way of discounts on future bookings. Instead, these fees should be allocated to the discount benefit (future bookings) and deferred as a contract liability. Revenue will be recognized as customers utilize their discounts over time.

2. Event Deposits (BDT 30 million bookings with 20% discount applied)

Each event booking represents a separate performance obligation, and the 50% deposit received is part of the payment for these bookings. The deposits should be recognized as revenue only when the performance obligation (i.e., the event) is satisfied. Until the event occurs, the deposit should be recorded as a contract liability. Revenue will only be recognized when each booked event takes place.

We need further information to determine how many of the events have taken place by 31 March 2024 to propose an adjustment for recognizing contract liability.

Specific audit risks

- There is high risk of cut-off error for revenue between the order date and the delivery of the event.
- The revenue from the new membership scheme has been recognised incorrectly and there is a risk that there are other new schemes or arrangements which have also been accounted for incorrectly.
- There is a risk that the membership arrangement is more complex than currently understood and that there are other performance obligations for Digonta which need to be considered and which may affect revenue recognition.
- Management has an incentive to overstate revenue and it may be that the revenue from membership was deliberately overstated.

Share options

Financial reporting

Share options issued to third parties such as suppliers are usually recorded at the fair value of the goods and services received in return, unless the value of those goods/services cannot be measured reliably.

The cost should be recorded when the goods/services are received which appears to be during the year ended 31 March 2024. Hence it is incorrect to record no entry for the options issued. If the estimated value of BDT 1.2 million is a reliable estimate, that cost should be recorded with a debit to expense and a credit to equity.

Specific audit risks

- The key risk here is accurate valuation of the goods and services as the evidence for this seems limited at present.
- Transactions such as these with suppliers also appear unusual and there is a risk that the arrangements may be more complex than they first appear with other obligations and terms which need to be considered. The reason for settling supplier accounts in this way does also need to be understood.
- There is also the risk that there may be other similar contracts which have not been identified and may have been accounted for incorrectly.
- Also need to understand how the share options would affect control of the company were they all to be exercised.

Answer to the Question# 3(b) (iii & iv):

Investment Property Vs PPE

Change of use of non-current asset requires that property that is held to earn rental or capital appreciation or both, rather than for ordinary use by the business, must be recognised as investment property under IAS 40. Hence the Community Centre in Dhaka must be reclassified from Property, plant and equipment to Investment property in the statement of financial position.

The asset will be accounted for under IAS 16 - PPE up to the date of change in use, and any difference between its carrying amount and its fair value at this date must be dealt with as a revaluation in accordance with this same standard

The carrying amount of the asset at 20 December March 2023, the date of change in use, was BDT 53.99 million (W1), hence BDT 8.01 million uplift to its fair value of BDT 62 million at this date should have been recognised in OCl and as a revaluation surplus .

The accounting treatment of the asset from this date is governed by IAS 40 and, as the company applies a fair value policy to its investment property, no further depreciation should have been charged on this asset from 20 December 2023. At the year end, BDT 2 million uplift to the new fair value of BDT 64 million (W1) should have been credited to profit or loss for the year rather than revaluation reserve.

By continuing to record the asset in Property, plant and equipment erroneously, the asset has continued to be depreciated and hence excess depreciation of BDT 0.29 million (W1) must be added back to Digonta's profits.

So, profit for the year is understated by BDT 2.29 million (2.00 +029).

W1

	Remaining Useful life (50 years) Nearest month	Fair Value BDT Million	Carrying amount BDT Million	Note
Purchase on 5 Jan 2020	600 months	45.00		
Revalued on 31 March 2021	585 months	56.00	43.875	calculation 45/600*585
PPE to Investment property on 20 Dec 2023	564 months	62.00	53.99	calculation 56/585*564
Depreciation from Jan 24 to March 24 erroneously charged in Profit or Loss account under PPE			0.29	calculation 56/585*3
As Investment property 31 March 2024		64	64	

Transfer to revaluation reserve on 20 December 2023: BDT 8.01 million = (62.00 - 53.99) on change from PPE to Investment property. Transfer to Profit and loss on 31 March 2024 as Investment property: BDT 2 million = (64-62)

However, the company erroneously accounted for [64-(53.99-0.29)] = 10.3 million BDT as revaluation reserve on 31 March 2024. Also, erroneously accounted for depreciation of BDT 0.29 million under PPE for the three months from Jan 2024 to 31 March 2024

Audit procedures

- Agree original cost and confirm depreciation policy.
- Check that fair values have been calculated in accordance with IFRS 13.
- Check basis on which the fair values have been calculated. Current prices in an active market should be available for this type of asset.
- Agree valuations to valuer's certificates.
- Confirm the date that the Community Centre was vacated.
- Review details of the rental agreement to confirm terms ie, occupier IS not a company connected to Digonta and rent has been negotiated at arm's length
- Reperform calculations to confirm the net book value at the date of change of use
- Discuss adjustments required to remove the asset from property, plant and equipment with management to determine whether management is willing to make these
  Confirm that disclosure is adequate ie, disclosure of the policy and a reconciliation of the carrying amount of the investment property at the beginning and end of the period.

Answer to the Question# 4(a):

Independence and Ethical Issues:

- **Fee Pressure and Reduced Audit Fee:**
  The audit fee for the current year is BDT 275,000, which is lower than the prior year's fee of BDT 350,000. This reduction could create pressure to cut corners and may compromise the quality of the audit.
- **Relationship with the Board Chairman**
  Audit engagement has been accepted at the request of Lifeline's Board Chairman, Mrs. Shamima Ahmed who is the spouse of Mr. Kawser Ahmed, a senior bureaucrat. This connection may pose a threat to independence if there's any pressure or influence exerted. There are chances that the engagement has been accepted without performing proper risk assessment and maintaining professional code of conducts including obtaining professional clearance.
- **Opinion shopping by the entity:**
  This is the first year of KHC. Prior year auditor was Wasim & Co. There was another auditor prior to Wasim & Co. this shows that Lifeline had different auditor in every year. There is a chance that the entity is opinion shopping and removing auditors if they express qualified audit opinions.

Remediation options:

1. Reaffirm the firm's commitment to independence and objectivity. Regularly remind the audit team of their ethical obligations.
2. Negotiate for an adequate fee that reflects the required audit work. At least negotiate prior year audit fee to avoid risk of low-balling.
3. Ensure that the audit team maintains professional scepticism and adheres strictly to auditing standards, regardless of the fee reduction.
4. Implement strict internal policies to manage conflicts of interest and ensure that all decisions are made objectively. Obtain a signed independence declaration from all team members involved in the audit.
5. Communicate openly with Lifeline's management and audit committee about any concerns or issues identified during the audit. Ensure that any disagreements or significant findings are documented and discussed in a transparent manner.
6. Consider resigning from the engagement if independence and ethical risk can not be remediated.

Answer to the Question# 4(b):

Risk due to Politically Exposed Persons (PEPs) in the board:

- **Potential for Influence and Bias**
  PEPs may have significant political influence or connections that could impact business decisions, such as securing government contracts or influencing regulatory decisions. There might be a risk that financial statements could be manipulated to reflect more favourable financial performance or hide irregularities.
- **Reputational Risks:**
  Allegations or media scrutiny regarding the use of political connections to secure contracts or loans can affect the company's reputation and credibility of financial reporting. Auditor may suffer reputational damage by associating them with PEPs.
- **Compliance Risks:**
  PEPs may trend to non-comply and override with various legal requirements due to their power and connections. Non-compliance with regulatory requirements, especially in industries like pharmaceuticals which are highly regulated, can lead to legal consequences and affect financial statements.

Safeguards to be considered:

- **Enhanced Due Diligence:**
  - Conduct thorough background checks on PEPs involved in governance to understand potential conflicts of interest, past controversies, or legal issues.
  - Verify the accuracy of disclosures related to their roles and influence within the company.
- **Independence and Objectivity:**
  - Maintain independence in fact and appearance throughout the audit process. Ensure that audit decisions are not influenced by relationships with PEPs.
  - Rotate audit partners and staff periodically to reduce familiarity and mitigate any potential undue influence.

- **Increased Scrutiny in Risk Areas:**
  - Pay special attention to areas like related-party transactions, procurement processes (especially involving government contracts), and compliance with regulatory requirements.
- **Documentation and Communication:**
  - Document audit findings, especially any areas of concern related to governance or potential conflicts of interest involving PEPs.
  - Communicate effectively with the audit committee and management about audit findings and recommendations for improving controls and governance.

Answer to the Question# 4(c):

Initial audit procedures to be performed:

- **Perform opening balance procedures:**
  - Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, have been restated correctly.
  - Determining whether the opening balances reflect the application of appropriate accounting policies.
  - Review prior year auditor’s evidence to obtain sufficient and appropriate evidence related to opening balance.
  - Perform substantive procedures and send confirmations of balances.

- **Ensure consistency of Accounting Policies:**
  - Obtain sufficient appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements.
  - Whether changes in the accounting policies have been appropriately accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.
- **Understanding the Entity and Assessing Risk of material misstatements:**
  - Evaluate the effect of the matter giving rise to the modification in assessing the risks of material misstatement in the current period's financial statements.
  - Identify key risks such as revenue recognition (dispatch trigger and distributor sales), inventory valuation (particularly obsolete and slow-moving raw materials), related-party transactions (board chair's influence), and compliance issues (allegations of expired raw materials).

Impact of prior year qualified audit opinion in current year audit procedures and opinion:

- **Review of Prior Year Audit Report:**
  - Analyze the qualified opinion related to inventory for obsolete and slow-moving raw materials. Ensure whether the issue persist in the current year as well.
  - Consider the implications on current year audit procedures, particularly on inventory valuation and management representations.

- **Adjusting Audit Procedures:**
  - Enhance procedures related to inventory valuation to address the qualified opinion issue.
  - Ensure adequate testing and documentation of inventory obsolescence allowance, possibly involving specialists if necessary.
- **Assessing Audit Opinion for Current Year:**
  - Determine if there are indications of improvements or continued issues in inventory management that could affect the audit opinion.
  - Discuss findings with management regarding steps taken to mitigate risks highlighted by the predecessor auditor.
- **Communication and Reporting:**
  - Inform the audit committee and management about the implications of the prior year audit opinion.
  - Clearly document findings and any modifications to audit procedures or scope due to the qualified opinion.

Answer to the Question# 5(a):

Evaluation of appropriateness changing its functional currency is appropriate.

Dynamic has been exporting and raising invoice in USD. In order to avoid currency fluctuation risk, it has decided to change its functional currency to USD from BDT. However, this decision might not be appropriate. Before deciding to change the functional currency, Dynamic should review the criteria of determining functional currency mentioned in IAS 21 The Effects of Changes in Foreign Exchange Rates.

According to IAS 21, the currency of the country that influence the sale price should be the functional currency. In making decision of functional currency, entities also should consider the economic environment and condition of the country that influences determination of sales price regardless of the currency in which invoices are raised. It should further assess in which currency sales proceeds are retained and whether entire sales proceeds are remitted outside country.

Although all these evaluation criteria are not clear from the provided information, but it can be concluded that change of functional currency to USD might not be appropriate just because invoice currency is USD.

Determine the probable impact of change in functional currency in your audit:

The change in functional currency from BDT to USD will have several implications on the audit. Here are the key areas to consider:

1. **Financial Statement Conversion**:
   - **Opening Balances**:
     Historical financial statements need to be converted to USD. The auditor must ensure that the conversion of these balances is accurate and complies with relevant accounting standards.
   - **Comparative Figures**:
     Previous year figures, presented in BDT, need to be translated into USD for comparative purposes. This process requires careful verification.
2. **Internal Controls:**
   - **Control Environment:**
     The auditor will need to assess whether there are adequate internal controls over the conversion process and ongoing accounting in the new functional currency.
   - **System Adjustments:**
     Any changes to accounting systems or processes to handle the new functional currency must be reviewed.
3. **Disclosures:**
   - **Currency Change Disclosure:**
     Adequate disclosure in the financial statements regarding the change in functional currency is required. The auditor must verify that these disclosures are complete and accurate.
   - **Impact on Financial Position and Performance:**
     The change in functional currency may affect reported financial positions and performance. The auditor needs to ensure that management has adequately disclosed these impacts.
4. **Exchange Rates:**
   - **Translation Methodology:**
     The methodology used to translate the financial statements from BDT to USD must be consistent with IAS 21 requirements. The auditor must verify that the appropriate exchange rates (historical and current) have been applied correctly.
5. **Subsequent Events:**
   - **Currency Fluctuations:**
     Post year-end, the impact of any significant currency fluctuations on the newly adopted functional currency needs to be considered and disclosed if material.
6. **Audit Procedures:**
   - **Substantive Testing:**
     Additional substantive procedures may be required to verify the accuracy of translated balances.
   - **Revaluation of Assets and Liabilities:**
     Ensure proper revaluation of any monetary and non-monetary assets and liabilities in USD.

Answer to the Question# 5(b):

Designing audit procedures for non-current assets, lease accounting, and purchase and sales transactions in an environment using automated IT software like CrystalPro involves focusing on IT general controls (ITGCs), application controls, and substantive testing. Audit procedures in an IT environment on non-current assets, lease accounting, and purchase and sales are below:

Audit procedures for Non-Current Assets in automated IT environment:

- **Testing IT General Controls**

  Access Controls:
  - ✓ Verify that access to CrystalPro is restricted to authorized personnel only.
  - ✓ Check the user accounts and their access levels, ensuring segregation of duties among the three user accounts and five employees.
  - ✓ Review logs and audit trails to identify any unauthorized access or changes to the fixed asset and lease register.

  Change Management:
  - ✓ Assess the procedures for making changes to the CrystalPro system, including updates and patches.
  - ✓ Verify that changes are tested and approved before being implemented.

- **Testing application controls**

  Automated Calculations:
  - ✓ Verify the accuracy of automatic depreciation calculations for non-current assets and ROU assets.
  - ✓ Check the interest expense calculations on lease liabilities to ensure they are consistent with the lease agreements.

  Journal Entries:
  - ✓ Review the automated journal entries posted at month-end to ensure they are accurate and complete.
  - ✓ Reconcile the fixed asset and lease registers with the general ledger.

- **Performing substantive testing**

  Physical Verification:
  - ✓ Perform a physical verification of a sample of non-current assets to ensure their existence and condition.
  - ✓ Compare the physical count to the fixed asset register.

  Depreciation and Impairment:
  - ✓ Recalculate depreciation for a sample of assets to verify the accuracy of automated calculations.
  - ✓ Assess the reasonableness of impairment calculations and ensure they are properly reflected in the accounts.

Audit procedures for Lease Accounting in automated IT environment:

- **IT General Controls**
  - ✓ Follow the same access controls and change management procedures as described for non-current assets.
- **Application Controls**

  Lease Register Maintenance:
  - ✓ Verify that lease agreements are accurately recorded in the lease register.
  - ✓ Ensure the automated calculations of ROU assets and lease liabilities are consistent with the terms of the lease agreements.

  Interest Expense Calculation:
  - ✓ Check the interest expense on lease liabilities to ensure it aligns with the amortization schedules.
- **Substantive Testing**

  Lease Agreements:
  - ✓ Review a sample of lease agreements to ensure they are accurately reflected in the lease register.
  - ✓ Verify the initial recognition and subsequent measurement of ROU assets and lease liabilities.

  Interest Expense:
  - ✓ Recalculate the interest expense for a sample of lease liabilities to verify the accuracy of automated calculations.

Audit procedures for Purchase and Sales Transactions in automated IT environment:

- **IT General Controls**
  - ✓ Follow the same access controls and change management procedures as described above.

- **Application Controls**

  Order Processing:
  - ✓ Verify that purchase and sales orders are raised and approved within CrystalPro.
  - ✓ Ensure automated recognition of purchases and sales upon receipt or delivery of goods is accurate.

  Expected Credit Loss (ECL) Calculation:
  - ✓ Review the automated ECL calculations to ensure they are based on accurate and complete receivable data.
  - ✓ Check the journal entries for necessary adjustments.

- **Substantive Testing**

  Purchases:
  - ✓ Select a sample of purchase transactions and trace them from purchase order to goods receipt and invoice matching.
  - ✓ Verify that the purchase transactions are accurately recorded in the financial statements.

  Sales:
  - ✓ Select a sample of sales transactions and trace them from sales order to delivery and invoice issuance.
  - ✓ Verify that sales transactions are accurately recorded in the financial statements.

  ECL Calculation:
  - ✓ Review the receivable aging report and ensure the ECL calculation reflects the correct aging and risk factors.
  - ✓ Compare the ECL provision to industry standards and historical data for reasonableness.

Answer to the Question# 5(c):

Auditor Responsibilities Regarding Service Organization and Management Specialists

Service Organization (HR Solutions)

When an entity uses a service organization to process transactions, the auditor must understand how the service organization's activities affect the entity's internal controls and financial statements. The auditor's responsibilities include:

- **Understanding the Service Organization's Controls:**
  - Assess the relevance of controls at the service organization (HRS) to the entity's financial reporting.
  - Obtain an understanding of the nature and significance of the services provided and their effect on the entity's internal controls.
- **Obtaining Assurance:**
  - Obtain a Service Organization Control (SOC) report, such as a SOC 1 Type 2 report, if available. This report provides information about the service organization's controls and the effectiveness of those controls over a period.
- **Assessing the Risk of Material Misstatement**:
  - Evaluate whether the controls at the service organization sufficiently address the risks of material misstatement in the entity's financial statements.
  - If the SOC report or equivalent documentation is not available, the auditor may need to perform alternative procedures to obtain sufficient appropriate audit evidence.

Management Specialists (Actuary)

When management employs specialists, such as actuaries, to assist with valuations or calculations, the auditor must:

- **Evaluate the Competence, Capabilities, and Objectivity:**
  - Assess the qualifications, experience, and reputation of the actuary.
  - Consider any relationships or conflicts of interest that might impair the actuary's objectivity.
- **Understand the Work of the Specialist:**
  - Obtain an understanding of the methods and assumptions used by the actuary.
  - Evaluate whether the methods and assumptions are reasonable and consistent with the entity's policies and relevant accounting standards.
- **Using the Work of the Specialist:**
  - Consider the relevance and reasonableness of the specialist's work as audit evidence.
  - Perform procedures to assess the accuracy and completeness of the data provided to the specialist.

Audit Procedures for Actuarial Valuation of Employee Benefits and Payroll Processed by HRS

Actuarial Valuation of Employee Benefits

- **Understanding the Valuation Process:**
  - Review the process used by management and the actuary to determine the employee benefit obligations.
  - Understand the actuarial assumptions (e.g., discount rates, salary growth, employee turnover rates) used in the valuation.
  - Understanding whether valuation has been done independently.
  - Obtain understanding regarding qualifications and experience of the actuary.

- **Assessing the Actuary's Report:**
  - Evaluate the competence and objectivity of the actuary.
  - Review the actuarial report for methodology consistency with relevant accounting standards (e.g., IAS 19).

- **Testing the Assumptions and Data:**
  - Compare the actuarial assumptions used with industry benchmarks and historical data.
  - Test the accuracy and completeness of the data provided to the actuary by management.

- **Recalculating the Valuation:**
  - Perform independent recalculations of key elements of the actuarial valuation to verify the results.
  - Assess the reasonableness of the actuarial loss recognized in the financial statements.

- **Reviewing Disclosures:**
  - Ensure that the financial statement disclosures related to employee benefit obligations are complete and comply with relevant accounting standards.

Payroll Processed by HR Solutions (HRS)

- **Understanding the Service Organization's Controls:**
  - Obtain and review the SOC report (if available) to understand the controls at HRS.
  - Evaluate the impact of these controls on the entity's payroll processing and financial reporting.

- **Testing the Payroll Process:**
  - Verify the accuracy of the payroll calculations by HRS by performing substantive testing on a sample of payroll transactions.
  - Reconcile the payroll reports provided by HRS with the entity's financial records.

- **Assessing Data Integrity:**
  - Test the completeness and accuracy of the attendance data used to prepare the salary sheets.
  - Review the approval process by HRS and ensure it is functioning as described.

- **Reviewing Payroll Payments:**
  - Verify that payroll payments are made to the correct employee bank accounts as per the details provided by HRS.
  - Test a sample of bank payments to ensure they match the amounts reported by HRS.

- **Evaluating the Reporting and Disclosures:**
  - Ensure that the payroll expenses are accurately recorded in the financial statements.
  - Check that disclosures related to the use of a service organization for payroll processing are complete and in compliance with relevant accounting standards.

Answer to the Question# 5(d):

Appraisal tax manager's position:

The tax manager's position on keeping only half of the required tax provision due to an intention to settle the tax assessment by paying only half of the calculated amount raises significant concerns from both accounting and auditing perspectives.

- **Accounting Standards**:
  - According to International Accounting Standard (IAS) 12, "Income Taxes," the tax provision should reflect the amount expected to be paid to tax authorities. This includes all obligations based on current tax laws and regulations.
  - A provision must be recognized for the full amount of the expected tax liability, not just the portion the entity plans to settle.

- **Consistency and Comparability:**
  - Prior behavior (settling for half) does not justify under-provisioning if it does not reflect the full obligation.
  - The financial statements must present a true and fair view of the financial position, which includes recognizing all liabilities accurately.

- **Material Misstatement:**
  - Under-provisioning for income tax can lead to a material misstatement of the financial statements.
  - This practice can mislead stakeholders about the company's financial health and compliance with tax regulations.

Course of Actions as Auditor

Given the tax manager's position, the auditor needs to take the following steps:

- **Reassess the Tax Provision:**
  - Recalculate the appropriate tax provision according to IAS 12.
  - Confirm that the full amount of the tax liability is included in the financial statements.
- **Evaluate Management's Justification:**
  - Obtain detailed explanations and documentation from the tax manager regarding the reduced provision.
  - Review any past settlement agreements or correspondence with tax authorities to understand the basis for management's expectations.

- **Assess the Impact of Prior Year Settlements:**
  - Examine past years' tax settlements to determine if similar provisions were made and whether the outcomes justified the reduced provisioning.
  - Consider if there were any penalties or additional interest charges due to underpayment.
- **Consider Potential Risks and Uncertainties:**
  - Evaluate the risk of additional assessments or penalties from tax authorities due to under-provisioning.
  - Discuss with management the potential consequences of not fully providing for the tax liability.
- **Document the Auditor's Assessment:**
  - Prepare detailed documentation of the audit procedures performed, findings, and management's responses.
  - Highlight any discrepancies between the calculated provision and the amount recognized in the financial statements.
- **Communicate with Those Charged with Governance:**
  - Inform the Audit Committee or Board of Directors about the issue and its potential impact on the financial statements.
  - Discuss the necessity of recognizing the full tax provision and the risks associated with under-provisioning.
- **Consider the Need for a Modified Audit Opinion:**
  - If management refuses to adjust the tax provision to reflect the full liability, evaluate whether a modification to the audit opinion is necessary.
  - A qualified or adverse opinion might be required if the misstatement is material and pervasive.

---The End---